

Learning Guide Unit 8

Reading Assignment

As you go through the readings and watch the videos, consider the following:

1. How do firms choose among various financial capital sources and what tradeoffs do they face?
2. How do households select financial investments based on return, risk, and liquidity?
3. What are the core functions of money in overcoming the limitations of barter?
4. How do banks expand their money supply through the fractional reserve system?
5. How do exchange rate policies influence international capital flows and what role could cryptocurrencies play?

Read

1. Greenlaw, S., Shapiro, D., & MacDonald, D. (2022). *Principles of Economics (3e ed.)*. <https://openstax.org/books/principles-economics-3e/pages/1-introduction> licensed by CC 4.0
 - **Read Chapter 17: [Financial Markets](#)**
 - Section 17.1 – [How Businesses Raise Financial Capital](#)
 - Section 17.2 – [How Households Supply Financial Capital](#)
 - Section 17.3 – [How to Accumulate Personal Wealth](#)
 - **Section 17.1** explains how firms raise financial capital for long-term investments by leveraging early-stage funding, reinvested profits, bank loans or bonds, and issuing stock. It also discusses the trade-offs and decision criteria firms use when choosing between these financial sources based on risk, cost, and control.
 - **Section 17.2** describes how households supply funds by choosing among bank accounts, bonds, stocks, mutual funds, and tangible assets based on expected return, risk, and liquidity. It also explains the intermediary role of banks, offers methods to calculate bond yield, contrasts asset types, and discusses the tradeoffs between return and risk.
 - **Section 17.3** explains how the random walk theory reveals that stock prices move unpredictably—with an overall upward trend—making consistent market outperformance highly unlikely. It also describes the impact of simple versus compound interest on wealth accumulation and evaluates how capital markets repackage financial capital to drive economic growth.
 - **Read Chapter 27: [Money and Banking](#)**
 - Section 27.1 – [Defining Money by Its Functions](#)
 - Section 27.2 – [Measuring Money: Currency, M1, and M2](#)
 - Section 27.3 – [The Role of Banks](#)
 - Section 27.4 – [How Banks Create Money](#)
 - **Section 27.1** explains the four key functions of money—as a medium of exchange, store of value, unit of account, and standard of deferred payment—to overcome the inefficiencies of barter. It also contrasts commodity money, which has intrinsic value through non-monetary uses, with fiat money, whose value is derived solely from government decree and public trust.
 - **Section 27.2** explains the differences between M1 and M2 money supplies by highlighting how liquidity distinguishes highly accessible assets (cash, checkable deposits, and savings) from less liquid ones (time deposits, certificates of deposit, and money market funds). It also discusses how evolving banking practices and technology blur these lines, emphasizing the central role of the banking system in measuring and managing the overall money supply.
 - **Section 27.3** explains how banks function as financial intermediaries by pooling deposits from savers and lending to borrowers, thereby reducing transaction costs and supporting economic transactions. It also evaluates the roles of savings institutions and credit unions while analyzing how loan defaults and asset-liability mismatches contribute to bank bankruptcies and recessions.

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- **Section 27.4** explains how banks expand the money supply by using the money multiplier formula and T-account balance sheets to show how limited reserves enable successive rounds of lending. It also discusses the benefits and risks of fractional reserve banking, highlighting how reserve requirements and depositor behavior affect overall money creation.

◦ **Read Chapter 29:** [Exchange Rates and International Capital Flows](#)

- Section 29.1 – [How the Foreign Exchange Market Works](#)
- Section 29.2 – [Demand and Supply Shifts in Foreign Exchange Markets](#)
- Section 29.3 – [Macroeconomic Effects of Exchange Rates](#)
- Section 29.4 – [Exchange Rate Policies](#)
- **Section 29.1** explains the structure and dynamics of the foreign exchange market, defining key concepts and differentiating between investment types such as FDI, portfolio investments, and hedging. It also discusses how currency appreciation and depreciation affect exchange rates and identifies which economic participants benefit from a stronger or weaker currency.
- **Section 29.2** explains how the foreign exchange market operates as buyers and sellers interact—shifting supply and demand based on expectations, interest rate differences, and inflation—to determine equilibrium exchange rates. It discusses the roles of arbitrage and purchasing power parity in ensuring that currency values reflect the relative prices of internationally traded goods, facilitating meaningful economic comparisons.
- **Section 29.3** discusses how exchange rate volatility can disrupt international loans and banking stability, potentially triggering economic instability.
- **Section 29.4** explains the spectrum of exchange rate policies—from floating rates to soft pegs, hard pegs, and merged currencies—and outlines how each regime functions along with its inherent tradeoffs. It describes the impact of these policies on monetary autonomy, exchange rate stability, and international trade, enabling you to differentiate among them and understand their economic implications.

2. Diyorbek, X., Ibrohimbek, K., & Ozodbek, T. (2024). *Cryptocurrency adoption and its role in reshaping international financial systems*. Journal of International Accounting and Financial Management, 1(1), 28-33.

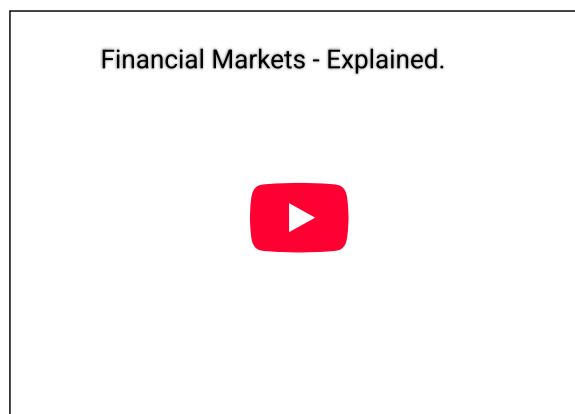
<http://economicjournals.org/index.php/JIAFM/article/view/9/12> licensed by CC 4.0

- The article examines how Bitcoin and other cryptocurrencies are gaining global acceptance and transforming traditional financial systems through benefits such as lower transaction costs and enhanced security, while also addressing regulatory challenges and regional disparities in adoption. It concludes that the long-term success of crypto and decentralized finance (DeFi) depends on harmonized regulations and technological advancements.

Watch

1. Academic Gain Tutorials. (2021, January 15). *Financial markets - explained*. [Video]. YouTube.

- This video explains how money and the financial system are intertwined, affecting key economic factors like inflation, interest rates, and business cycles. This video details how financial markets and banks link savers and borrowers by managing liquidity and risk through various financial instruments.



2. Primal Space. (2025, January 28). *How banks magically create money* [Video]. YouTube.

- This video explains how money is created—from physical cash produced by the government to digital money generated by banks through loans—and traces its evolution from barter to modern financial systems. It also illustrates how these processes drive economic activity and impact inflation, debt, and overall financial stability.

How The US Magically Creates Money



3. The Economist. (2023, May 18). *What's the future of crypto?* [Video]. YouTube.

- This video explores how cryptocurrencies and blockchain technology are transforming the global economy by enhancing financial inclusion and opening new investment opportunities. It examines the technological foundations, regulatory challenges, and global policy implications of this digital finance revolution.

What's the future of crypto?



Additional Readings

1. Masiha, R. Y. (2022). *Effects of Cryptocurrencies on Global Economics: A review study*. Qubahan Academic Journal, 2(2), 9–15.

<https://doi.org/10.48161/qaj.v2n2a138> licensed by CC 4.0

- This article discusses how the COVID-19 pandemic has accelerated the shift to digital payments and the decline of paper currencies, with a surge in cryptocurrency investment—especially Bitcoin—and growing competition among central banks to issue digital currencies amid rapid global economic transformation.

2. Adewale, N. S. A. (2025). *DIGITAL CURRENCIES AND HYPERINFLATION*. International Journal of Financial Research and Business Development. <https://doi.org/10.70382/mejfrbd.v7i7.017> licensed by CC 4.0

- This study investigates how digital currencies and FinTech innovations can mitigate hyperinflation and enhance financial inclusion in hyperinflationary economies. Using a quantitative approach with Nigerian FinTech entrepreneurs, it finds that digital currencies improve access to financial services and stabilize economic conditions, though challenges such as regulatory barriers and infrastructure deficits persist.

3. Liang, C., Shah, S. A., & Bifei, T. (2021). *The Role of FDI Inflow in Economic Growth: Evidence from Developing Countries*. Journal of Advanced Research in Economics and Administrative Sciences, 2(1), 68–80. <https://doi.org/10.47631/jareas.v2i1.212> licensed by CC 4.0

- This article examines the relationship between FDI and economic growth in 113 developing and transition countries from 2000 to 2019, finding that increased FDI inflows boost growth and reduce unemployment.
- This article also recommends future research to assess FDI's impact in the post-pandemic era.